

Japan Electronic Components

April MLCC statistics: New FY starts at high levels

CITI'S TAKE

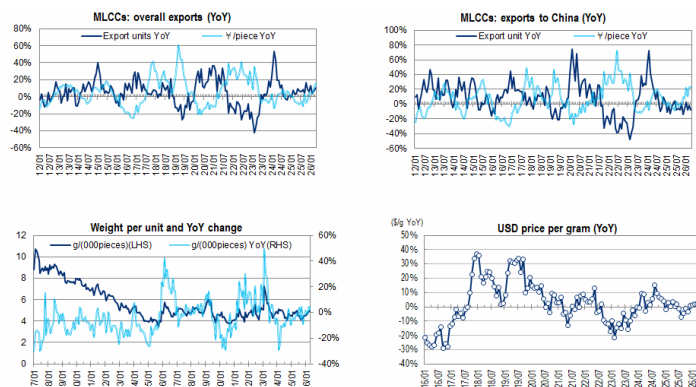
The Ministry of Finance released trade statistics at 9:30 on May 28. April MLCC shipment volume rose 10.4% YoY and 6.5% MoM, shipment value rose 28.0% YoY and 9.3% MoM (in USD: +16.6% YoY and +8.9% MoM), and ASP grew 15.9% YoY and 2.6% MoM. April benefited from YoY yen depreciation (¥144/\$→¥158/\$), but ongoing strong demand for AI servers drove ASPs to high levels. Our forecast for Murata's Q1 capacitor revenue suggests approximately 15% YoY growth, and we see numbers well above this as positive. MLCC company shares have risen significantly post-earnings, and we believe expectations of favorable Q1 progress versus guidance will continue to act as support.

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Figure 1. Summary of MLCC trade statistics



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Source: MoF, Citi Research

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Murata

(6981.T; ¥7820.0; 2; 27 May 26; 15:30)

Valuation

In setting our target prices for the electronic component industry, we employ a RoIC-WACC approach, taking net cash into consideration. We set a base year of FY3/28, assume an expected growth rate of 0% and a risk-free rate of 1.5%, and calculate an equity-risk premium of 4.0% from the recent TOPIX earnings yield.

Our ¥3,900 target price is derived as follows.

Theoretical shareholder value (= FY3/28E adjusted NOPAT x future business value multiplier + end-FY3/28E net cash [after deducting an amount equivalent to 5% of annual sales, including book value of investment securities] – end-FY3/28E minority interest)/(1 + WACC)^(number of months to end of valuation base FY/12).

Risks

Risks to our target price include 1) overall technology product demand trends, 2) automotive supply chain inventory adjustments, 3) rapid forex changes, 4) intensified competition on the emergence of new rivals in Asia, 5) renewed growth acceleration and market share trends in high-end smartphones, and 6) a change in MLCC supply-demand or price hikes.

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Appendix A-1

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Murata (6981)

Ratings and Target Price History
Fundamental Research

Analyst: Takayuki Naito



	Date	Rating	Target Price	Closing Price
1	15-Jun-23 02:05:13	2	*2,833	2,840
2	12-Sep-23 02:05:15	2	*2,767	2,731
3	29-Sep-23 02:05:36	2	*2,800	2,734

	Date	Rating	Target Price	Closing Price
4	06-Dec-23 01:05:00	2	*3,000	2,892
5	13-Dec-24 01:35:00	2	*2,700	2,493
6	27-May-25 02:35:00	2	*2,200	2,081

	Date	Rating	Target Price	Closing Price
7	18-Aug-25 02:35:00	2	*2,400	2,444
8	15-Dec-25 02:24:12	2	*3,300	3,271
9	17-Mar-26 02:35:59	2	*3,900	3,802

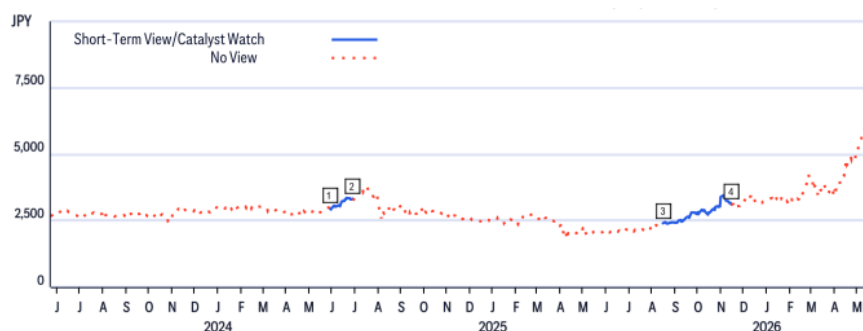
*Indicates Change

Rating/target price changes above reflect Eastern Time

Murata (6981)

Short-Term View/Catalyst Watch Research

Analyst: Takayuki Naito



	Date	Action	Expected Direction	Duration	Closing Price
1	29-May-24 22:05:00	Add CW	Upside	30 Days	2,945
2	28-Jun-24 12:05:20	Remove CW	Upside	30 Days	3,322

	Date	Action	Expected Direction	Duration	Closing Price
3	17-Aug-25 22:35:00	Add STV	Upside	90 Days	2,400
4	16-Nov-25 20:59:32	Remove STV	Upside	90 Days	3,109

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Apr 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
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